

SEPARATE OPINION OF M. ANZILOTTI.

[Translation.]

I regret that I am unable to concur either in the decision reached in the judgment rendered by the Court or in the grounds on which that decision is based.

In my opinion, this judgment fails to appreciate the true import of the main plea of the Government of the United Kingdom and does not satisfactorily deal with the question of law raised by that plea. Furthermore, and in consequence of my attitude in regard to the point above mentioned, I think that the Court, before deciding the case on the merits, should have ordered the production of further evidence, as the Agent for the Government of the United Kingdom requested it to do without any objection on the part of the Agent for the Belgian Government.

1.—As I understand it, the main plea of the Government of the United Kingdom may be summarized as follows:

By compelling Unatra to reduce to one franc per ton its charge for the carriage of the chief products of the Congo colony, and by giving an undertaking to that Company temporarily to bear the losses resulting from the reduction imposed, the Belgian Government was wittingly rendering it commercially impossible for other transporters to carry on their businesses, was concentrating the transport business in the hands of Unatra and was thus creating in favour of that Company what the Government of the United Kingdom calls a *de facto* monopoly.

These measures, regarded from this point of view, that is to say, in so far as they were bound to bring about and did in fact bring about the situation described, are alleged to be in conflict with the provisions of the Convention signed at Saint-Germain-en-Laye on September 10th, 1919, concerning freedom of navigation and trade, and equality of treatment in connection with these matters.

The Government of the United Kingdom does not contend that the measures adopted by the Belgian Government are in themselves and in all circumstances inconsistent with that Convention. It disputes neither the State's right to control shipping companies or itself to engage in the transport business, nor its right to regulate transport changes or to grant subsidies; its Agent has even made an express statement to the contrary.

It contends, however, that in this particular case these measures were bound to create and did in fact create a privileged position for Unatra, by making it practically impossible for

other concerns to engage in the river transport business. It is on this ground, and this ground only, that the Government of the United Kingdom alleges that the measures in question are in conflict with the obligations resulting from the Convention of Saint-Germain.

2.—The first question raised by this plea is whether the facts advanced to support it have been established, that is to say, whether one can regard it as adequately proved that the measures taken by the Belgian Government were bound to result and did in fact result in concentrating the river transport business in the hands of Unatra, by making it commercially impossible for other transporters to engage in that business.

I have no hesitation in answering this question in the negative.

Of course, the Government of the United Kingdom has presented to the Court a considerable quantity of information and statistics regarding the transport of goods before and after the measure of June 20th, 1931, and regarding the distribution of vessels amongst the various concerns; it would appear from this evidence that, after the adoption of the measure in question, Unatra did in fact attain a privileged position and did in fact replace the other transporters.

The Belgian Government, however, for its part, has produced an equally large quantity of information and statistics, from which it would appear that the river transport business was still carried on or even improved after the decision of 1931. With the evidence at present available, it was certainly impossible for the Court to say that the information and statistics produced by the Government of the United Kingdom were correct and that those produced by the Belgian Government were incorrect.

Again, it is to be observed that, in order actually to establish the contention of the Government of the United Kingdom, it will not suffice to prove that private river transport concerns in the Congo ceased to operate after the measures adopted in 1931; it must also be proved that these measures and the cessation of business stand in the relation of cause and effect. Since the decision of June 20th, 1931, only affects the carriage of certain products of the colony between certain points on the river, this necessitates the appraisalment of a number of technical considerations which only experts in fluvial navigation and in the economic conditions of the Congo could adequately present to the Court.

3.—In these circumstances and at the very beginning of the oral proceedings, the Agent for the Government of the

United Kingdom made the request to the Court to which I have referred at the outset of this opinion.

After remarking that serious discrepancies still existed between the Parties in regard to important matters of fact, and after pointing out the difficulty of producing complete proofs, when the facts to be established had transpired in the territory of another State, the Agent for the Government of the United Kingdom suggested that the Court should order an enquiry, but only, of course, if it considered that the evidence already produced was insufficient to establish that the effect of the Belgian Government's measures had been to create a *de facto* monopoly, and that such a monopoly, if proved to exist, would be inconsistent with Belgium's international obligations.

The Agent for the Belgian Government raised no objection: whilst observing that the facts established—which however were quite other than the facts to which the Agent for the Government of the United Kingdom referred—sufficed in his view for the settlement of the dispute, he said that he left the matter to the Court, which possessed all the requisite powers under Article 50 of its Statute.

This being the position and seeing that the case depended mainly on the appraisalment of the facts, as the Special Agreement expressly says in the very terms of the question to be answered, the Court, in my opinion, ought not to have hesitated. Being confronted with the alternative of rejecting the main plea of the Government of the United Kingdom, for lack of evidence, or of exercising the powers conferred on it by the Statute and ordering the production of the necessary evidence, it should have taken the latter course.

To do so however would have hardly been possible without first of all establishing that the evidence to be called for was material to the issue. As the facts to be established related to the creation of a *de facto* monopoly in favour of Unatra, it was necessary to prove that such a monopoly, if its existence was established, would be inconsistent with the obligations laid on Belgium by the Convention of Saint-Germain.

It was from this aspect that the question of law raised by the main plea of the Government of the United Kingdom should have been considered by the Court at the very outset of its deliberation. I think that I may formulate the problem as follows:

Assuming to have been duly established the facts alleged by the Government of the United Kingdom and tending to prove that the decision of June 20th, 1931, and the application of that decision were bound to result and did in fact result in concentrating the river transport business in the hands

of Unatra by making it commercially impossible for other transporters to engage in that business, are these measures in conflict with the international obligations incumbent on Belgium under the Convention of Saint-Germain?

4.—Before taking up this question, which is undoubtedly the most important and the most delicate of the questions of law raised by the present case, it will not be out of place to define its essential features.

In the first place, it is certain that Unatra's privileged position is not the result of any legal prohibition applied to other river transport concerns. The latter are in law free to navigate their vessels and to carry passengers and cargo, just as before the decision of June 20th, 1931; what prevents them doing so is simply a commercial obstacle, namely the impossibility of obtaining customers unless they adopt Unatra's rates and, as a result, face very considerable losses.

On the other hand, Unatra's privileged position is not the result of the natural operation of economic laws, and in particular of competition. Unatra did not enter into competition with other transport concerns in the way that any other transporter might have done: it was solely owing to the financial assistance of the Government that it was able to lower its rates to such an extent as to drive other transporters out of the market. Its monopoly—if it is a monopoly—is the result of the decision of June 20th, 1931, that is to say of an act of the Government.

There is no doubt that, if this decision had taken the form of a prohibition to transport certain goods and to reserve their carriage to Unatra, it would have been contrary to the Convention.

Nor is there any doubt that, if the fact that it became impossible to carry on the transport business had been the result of the natural operation of economic laws, for instance a reduction in rates made by one of the river transport concerns or by Unatra itself, without any intervention on the part of the Government, that fact would have been of no importance as regards the obligations arising out of the Convention.

What is the law when it is in fact impossible, though a legal right remains, for others to engage in the business in question, and this impossibility is the necessary and direct consequence of an act of the Government?

This, in my view, is the real question of law raised by the main plea of the Government of the United Kingdom.

5.—In order to answer this question, I do not think it necessary to ascertain how far the principle of freedom of trade which is so fully stipulated for in Article 1 of the Act of

Berlin of February 26th, 1885, has been accepted by the Convention of Saint-Germain. It will suffice for my purposes to refer to Article 5 of that Convention, which is the real *sedes materiæ*.

The Article is worded as follows :

"Subject to the provisions of the present Chapter, the navigation of the Niger, of its branches and outlets, and of all the rivers, and of their branches and outlets, within the territories specified in Article 1, as well as of the lakes situated within those territories, shall be entirely free for merchant vessels and for the transport of goods and passengers.

Craft of every kind belonging to the nationals of the signatory Powers and of States, Members of the League of Nations, which may adhere to the present Convention shall be treated in all respects on a footing of perfect equality."

It is clear, to begin with, that this Article lays down that navigation is to be free, both as regards movements of shipping, or navigation in the strict sense of the word, and as regards the carriage of passengers and cargo. It is, indeed, in that sense that freedom of fluvial navigation has always been understood in international treaties concerned with the question.

It follows that an encroachment on the freedom to carry goods is a contravention of this Article, for the same reason and in the same way that an encroachment on the freedom of movement of shipping would contravene it. It is therefore quite possible, from this standpoint, for the Belgian Government's measures to be in conflict with Article 5, although they only affect the carriage of goods and in no way restrict the passage of vessels.

The most delicate point of the problem is, however, the question whether the provisions of Article 5 merely require the signatory Powers to refrain from any measure restricting either the free movement of shipping, or the freedom to carry passengers and cargo—provided of course that such measure is not legally justified by some other article relating to navigation in the Convention—or whether the Article goes further and requires the signatory Powers to refrain from any measure which, though not interfering with the free movement of shipping or cargoes, is of such a nature as to render this freedom economically valueless.

The question amounts to this: what is it that Article 5 sets out to protect? The Article is, indeed, drawn in such wide and general terms that any injury done to that which it seeks to protect is undoubtedly covered by its terms; there is nothing in the text to justify a belief that it is only aimed at legal prohibitions of navigating or of carrying cargoes.

In my view, it is beyond doubt that, in the Convention of Saint-Germain—as in all the other conventions relating to this subject, to which the present Convention is merely a sequel—navigation is regarded, and is protected, as a branch of economic activity, as a business. The purpose of Article 5 is to open the commercial exploitation of the waterways of the Congo Basin to everybody, so that everyone may reap the financial profits to be derived from it.

The freedom of navigation which Article 5 seeks to protect is not an abstract and academic freedom, but a tangible and effective freedom: the freedom to engage in a business in order to reap its profits. The purpose of this Article would be entirely stultified if the State were entitled to make it impossible for the shipping business to earn any profits, so long as every one was left free to engage in it: the idea of freedom of navigation which underlies Article 5 is something altogether different.

It would, of course, be absurd to maintain that the State was bound to make it possible for the shipping business to be carried on by guaranteeing custom and profits to those who engage in it; freedom of navigation can only signify freedom to engage in the shipping business, without hindrance, and subject to the risks to which that business is liable.

But the position is quite different if the State itself takes measures which render it impossible to obtain custom or to earn profits: in that case it is restricting that very freedom which it was bound to respect; measures of that kind are just as repugnant to Article 5 of the Convention of Saint-Germain as would be a law prohibiting navigation or the carriage of passengers and cargo. I find it impossible to believe that this Article prohibits the Belgian Government from reserving to the Unatra Company by legal enactment the carriage of goods referred to in the decision of June 20th, 1931, and yet left that Government free to adopt measures as a consequence of which no one else but Unatra could carry such goods without the certainty of incurring heavy losses.

6.—If, assuming the facts alleged by the Government of the United Kingdom to have been duly established, the measures adopted by the Belgian Government were contrary to the Convention of Saint-Germain, the circumstance that these measures were taken to meet the dangers of the economic depression cannot be admitted to consideration. It is clear that international law would be merely an empty phrase if it sufficed for a State to invoke the public interest in order to evade the fulfilment of its engagements.

I hasten to add, to prevent any misunderstanding, that it is quite possible, on the other hand, when one comes to examine

the facts, that the economic depression was an important or even a decisive factor, accounting for the Belgian Government's measures in a manner calculated to refute the allegations of the Government of the United Kingdom. That is, however, a question of fact. And it is for that reason that the Court, unless it rejected the submissions of the last-named Government for lack of proof, could not adopt that course except as the result of an enquiry which would elucidate all the questions of fact, both those relied on by the Belgian Government—including therefore, and primarily, the economic depression—and those relied on by the Government of the United Kingdom, which relate to the creation of a monopoly in favour of Unatra by the measures referred to.

Again, the position of Unatra, as a Company which has been under governmental control from the time of its foundation in 1925, and which is responsible for certain public services, has no bearing on the issue: that position in no way precluded competition by other enterprises. It is true that it was owing to the control which the Belgian Government exercised over Unatra—as over the other transport enterprises covered by the decision of June 20th, 1931—that that Government was able to take the impugned measures; but it is equally true that the Belgian Government should have abstained from taking those measures if they had been inconsistent with its international obligations. The situation occupied by the State-controlled companies, on the one hand, and by the uncontrolled companies, on the other hand, is therefore entirely immaterial to the issue which the Court had to decide.

7.—The situation would have been entirely different if the Belgian Government had been acting under the law of necessity, since necessity may excuse the non-observance of international obligations.

The question whether the Belgian Government was acting, as the saying is, under the law of necessity is an issue of fact which would have had to be raised, if need be, and proved by the Belgian Government. I do not believe that that Government meant to raise the plea of necessity, if the Court had found that the measures were unlawful; it merely represented that the measures were taken for grave reasons of public interest in order to save the colony from the disastrous consequences of the collapse in prices.

It may, be observed, moreover, that there are certain undisputed facts which appear inconsistent with a plea of necessity.

To begin with, there is the fact that, when the Belgian Government took the decision of June 20th, 1931, it chose, from among several possible measures—and, it may be added, in a manner contrary to the views of the Leopoldville Chamber of

Commerce—that which it regarded as the most appropriate in the circumstances. No one can, or does, dispute that it rested with the Belgian Government to say what were the measures best adapted to overcome the crisis: provided always that the measures selected were not inconsistent with its international obligations, for the Government's freedom of choice was indisputably limited by the duty of observing those obligations. On the other hand, the existence of that freedom is incompatible with the plea of necessity which, by definition, implies the impossibility of proceeding by any other method than the one contrary to law.

Another undisputed fact which seems irreconcilable with the plea of necessity is the offer made by the Government to transporters other than Unatra on October 3rd, 1932. Whatever its practical value, that offer showed that it was possible to concede advantages to all enterprises, similar to those granted to Unatra, and hence to avoid creating that *de facto* monopoly which, in the submission of the Government of the United Kingdom, was the necessary consequence of the decision of June 20th, 1931.

8.—For the foregoing reasons, I have reached the conclusion that the facts alleged by the Government of the United Kingdom are not sufficiently established; but that if they were proved, that is to say, if it were established that the decision of June 20th, 1931, and the application of that decision, were bound to result and did in fact result in concentrating all fluvial transport business in the hands of Unatra by rendering it commercially impossible for other transporters to engage in that business, those measures would be in conflict with Belgium's international obligations under the Convention of Saint-Germain towards the United Kingdom.

Seeing then that further evidence was material to the issue, it was the duty of the Court, in my opinion, having regard to the terms of the Special Agreement and to the attitude of the Parties, to suspend its decision on the merits and to proceed, under Articles 48 and 50 of the Statute, to order the necessary enquiries; to establish the truth impartially in regard to the disputed facts, and to obtain the requisite technical information to enable it correctly to appraise them.

It is only with the result of these enquiries before it that the Court could fulfil the mission confided to it by the Special Agreement which was to deliver judgment "having regard to all the circumstances of the case".

(Signed) D. ANZILOTTI.